CHAPTER 6

Costs and Profits

269. We have obtained information from eleven companies about their sales, costs, profits and capital employed in respect of reference trading and related activities. At the beginning of our inquiry eight of these companies produced some 70 per cent of all the beer produced in the United Kingdom; the 3 other companies (which were selected to provide information about some of the smaller brewers) were together responsible for about another 4 per cent.

270. The assessment of the capital employed presented considerable difficulty. Because of acquisitions and mergers, for example, it has not been possible to establish the amounts by which many of the fixed assets have been revalued and in most cases we have had to work on balance sheet values. Licensed premises comprise some 60 per cent of the average capital employed in the most recent year and, where these have been revalued for balance sheet purposes, the value has been calculated by reference to the profits expected to result from the ownership of those premises, including those earned in brewing and wholesaling. Goodwill, which normally would be excluded from our computation of the average capital employed, has been included on the brewers' argument that it is largely the excess of the purchase price over the book value of assets acquired by acquisition or merger. Trade investments have been included where their ownership is considered by the brewer to be directly beneficial to his trading activities.

271. The calculated average return on capital employed on reference and related activities achieved by the eleven companies investigated was about 10 per cent (see Appendix 12). This figure however is subject to the qualifications mentioned in the preceding paragraph.

272. For reasons which are set out in Appendix 12, the Brewers' Society argues that the capital employed should not be apportioned between sectional activities; broadly the Society's contention is that the ownership of licensed premises is of paramount importance to the landlords in their capacities as brewers and wholesalers, that the results of their investments and trading can only be considered as a whole, and that, in particular, there is no meaningful way in which the capital invested by brewers in licensed premises can be apportioned between their activities as retailers, or landlords of retailers, in those premises and their brewing and wholesaling activities which are promoted by their ownership of the premises. For our own purposes we nevertheless made a provisional apportionment of capital on the assumption that the investment in licensed houses should be regarded as capital employed in retailing (if the houses were managed) or in earning rents (if the houses were tenanted); and the brewers, having made their objection in principle, co-operated in this exercise. We have concluded, however, that the apportionment is unrealistic and we make no use of it in this report (see Appendix 12, paragraph 7).

273. We have transferred, from sales in beer activities (Appendix 12, Table 2) to rents less outgoings of properties (Appendix 12, Table 5), the wholesale price

differential between the tied trade and the free trade (the wet rent defined in Appendix 12, paragraph 6(a)). The costs charged against sales in each of the 4 types of 'trading', (1) beer activities (2) wines and spirits, minerals, etc. (3) managed houses and shops and (4) 'rents less outgoings of properties,' have generally been supplied by the brewers from their own accounting records. Where such records did not provide the necessary division, a basis of allocation was agreed with the company concerned. Although some individual brewers have made reservations about minor details of the computations, none of them has objected in principle to this calculation. The results are set out fully in Appendix 12. For the most recent year examined (financial year with average terminal date, September 1967) the aggregate results for the 11 companies may be set out as follows:

	Sales and other income	Profit
	£'000	£'000
Brewing activities	615,503	78,792
Wines, spirits, minerals etc.	223,804	14,006
Managed houses and shops	378,661	8,989
Other licensed premises	23,682	2,142
	1,241,650	
Less: Element of double counting (sales to managed houses and shops)	228,487	
	1,013,163	103,929

These figures must of course be considered in conjunction with the brewers' submissions referred to in paragraph 272. Since, in the light of their own figures, licensed houses (managed and tenanted) account for some 60 per cent of their capital, it would seem to follow that more than half of the profits attributed above to brewing activities must be regarded as accruing from the investment in licensed houses.